

Unions, Collective Bargaining, and Worker Voice

Labor II — Week 8

Teaching deck draft

Central question and course repositioning

- What do unions and collective bargaining actually change in labor markets once bargaining becomes collective rather than individual?
- Week 8 is the institution-heavy sequel to Weeks 5–7: bargaining protocol, employer power, and wage floors now meet organized worker voice.
- Week 9 will then ask how labor regulation, enforcement, and insurance sustain or constrain those institutions.

Week 7 to Week 8 bridge

- Week 7: legal wage floors compress pay from outside the contract.
- Week 8: collective bargaining can reshape wages, compression, amenities, grievance rules, and voice from inside the employment relationship.
- The key transition is from decentralized wage rules to organized worker bargaining power.

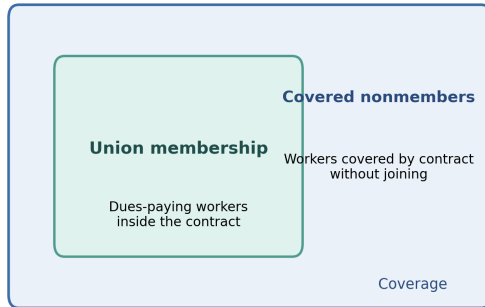
What unions and collective bargaining change

- Wage levels and rent-sharing.
- Wage structure and compression.
- Benefits, schedules, and job protection.
- Grievance procedures and worker voice.
- Employer behavior through threat effects and organizing avoidance.

$$w_{ijt} = w_{ijt}^0 + \beta_{jt}R_{jt}$$

Membership versus coverage versus bargaining regime

Coverage contains members plus covered nonmembers



Institutional environment: bargaining regime and union density shape how large the coverage set becomes.

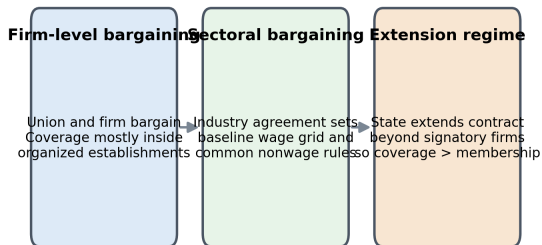
Coverage is not membership

$$C_{rt} = M_{rt} + N_{rt}^{covered, nonmember}, \quad C_{rt} \geq M_{rt}$$

- Membership is organizational attachment.
- Coverage is the contract object.
- Density is the surrounding environment for spillovers and politics.
- Regime tells us whether bargaining is firm-level, sectoral, multi-employer, or extended.

Bargaining regimes

Stronger bargaining institutions widen the gap between membership and effective coverage



Same worker voice idea, different transmission into wages and spillovers.

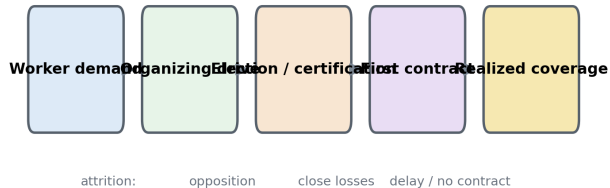
Union takeup, organizing, and certification

$$\Pr(\text{UnionWin}_{jt} = 1) = F(D_{jt}, O_{jt}, L_{jt})$$

- Worker demand is not the same thing as realized unionization.
- Organizing depends on employer opposition, legal rules, and local labor-market conditions.
- Certification elections are central in the U.S. private-sector literature because they generate close-win variation.
- Organizing success is an entry point into coverage, not the same thing as equilibrium union density.

From worker demand to realized coverage

Observed unionization is the output of a pipeline, not a direct measure of latent worker demand



Direct effects on covered workers

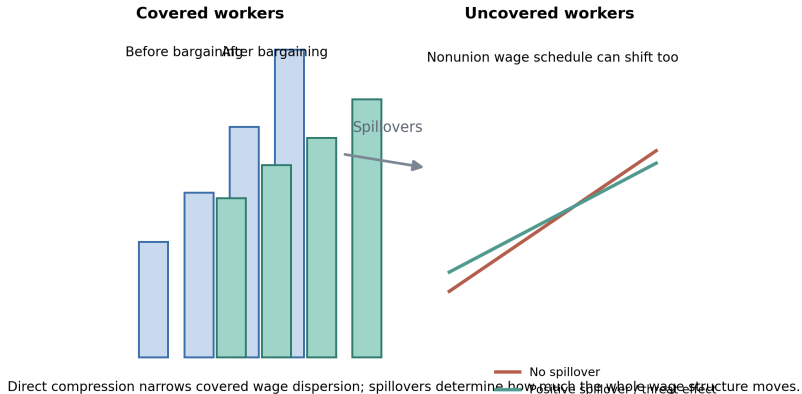
- Distinguish union wage premia from broader coverage premia.
- DiNardo-Lee: close-election RD identifies a local effect of marginal union wins on establishments.
- Frandsen: matched employer-employee data reveal payroll, earnings, and composition effects more directly.
- Farber-Herbst-Kuziemko-Naidu: unions matter for wage compression and inequality over time, not only for a point premium.

Compression, spillovers, and threat effects

$$w_{rt}^N = \alpha + \gamma \text{UnionPresence}_{rt} + X'_{rt}\delta + \varepsilon_{rt}$$

- Direct effects on covered workers are not the whole story.
- Spillovers can be positive, negative, or threat-based.
- Nonunion workers inside unionized firms are often contaminated controls.
- Aggregate inequality effects depend on uncovered workers too.

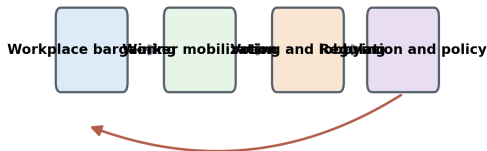
Wage compression and spillovers



Empirical designs and what they identify

Design	Unit	Best object	Main limitation
Close-election RD	Establishment / election	Local effect of union victory	Local treatment effect only
Matched worker-firm	Worker-firm match	Earnings, payroll, composition	Restricted data; spillovers remain
Historical decomposition	Worker-year / state-year	Wage compression, inequality	Stronger assumptions
Cross-country coverage	Worker-country-year	Regime and coverage effects	Institutions move jointly
Policy-shock event study	State-year / sector-year	Law and bargaining-rule changes	Policy endogeneity

ket institutions shape politics, and politics feeds back into labor law and bargaini



Week 8 keeps this bridge explicit without turning the lecture into a full politics survey.

- Unions are labor-market institutions and political actors.
- Politics matters here because it feeds back into labor law, enforcement, and insurance.
- The main estimands this week still remain wages, employment, coverage, and spillovers.

- Coverage regimes and international heterogeneity.
- Unions as a counterweight to monopsony.
- Within-firm spillovers for uncovered workers.
- New data on campaigns, elections, and worker beliefs.
- Organizing under tight labor markets, automation, and remote work.

- Week 8 introduced bargaining institutions, worker voice, and organizing.
- Week 9 asks how labor regulation, enforcement, and insurance change the legal environment in which those institutions operate.
- The transition question is how bargaining power interacts with regulation, compliance, and public protection.

Takeaways

- Membership, coverage, bargaining regime, and worker voice are different objects.
- Organizing and certification are not the same thing as post-union wage or employment effects.
- Direct effects on covered workers and spillovers onto uncovered workers must be kept separate.
- Unions matter for labor economics because they change wage-setting, inequality, and the institutional environment around work.

Appendix: lab bridge

- Reproduce: a Farber-Herbst-Kuziemko-Naidu style synthetic coverage-and-inequality panel.
- Diagnose: a DiNardo-Lee style synthetic close-election RD.
- Transfer: CPS/Unionstats coverage panels, certification-election panels, or a spillover design inspired by Fortin-Lemieux-Lloyd.
- Keep the object straight: membership, coverage, organizing margin, direct effect, or spillover effect.